APOLLO PROGRAM GUIDE

Mechanics of Apollo Level-Funded Captive Program

Benefits of a Group Medical Captive

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Benefits of a Group Medical Captive

- Greater control over program design
- Potential for underwriting profit return to captive participants
- Improved transparency and alignment of incentives among stakeholders
- Access to claims data and utilization insights for better decision-making
- Spreads risk across multiple employers for added stability
- Participation in a shared reinsurance pool with like-minded employers
- Opportunity to capture investment income on reserves
- Ability to implement and reward effective cost containment strategies

How a Level-Funded Health Plan Works

Employers pay ONE fixed monthly amount covering three components:

- Claims Fund: Pays for employee medical claims up to a set threshold (called the specific deductible and aggregate maximum liability)
- Stop-Loss Insurance: Protects the employer from high-cost claims and total liability on the group
- Administrative Fees: Covers plan administration costs

If claims are lower than expected, the employer may receive a refund of unused claims fund dollars.

If claims exceed the set threshold, stop-loss insurance kicks in.

Provides predictable monthly costs with the potential for savings compared to fully insured plans.

Offers access to claims data and greater transparency for informed decision-making.

Distribution of Monthly Premium

Claims Fund - Typically 60-70% of monthly employer payment

- Used to pay medical claims below the stop-loss deductible
- Any surplus at year-end may be refunded to the employer

Stop-Loss Premium - Typically 20-25% of the monthly payment

- Provides financial protection for high-cost or aggregate claims
- May be partially ceded to a captive for risk-sharing and profitability

Administrative Fees - Typically 5-15% of the monthly payment

- Covers TPA, PBM, network access, technology, compliance, and reporting
- Generally transparent and fixed in level-funded plans

Visual Workflow Overview

Employer Group -> TPA -> Stop-Loss Carrier -> Captive Insurer

- Captive Insurer -> Collateral (posted by Zenith)
- Captive Insurer -> Claims Reimbursement Flow

Employer Group Pays Premium

The employer group contributes a monthly premium for stop-loss coverage, that is a part of their level-funded health plan invoice from the TPA.

The premium is based on the employees and the dependents enrolled.

TPA Remits Premium

The Third-Party Administrator (TPA) receives the employer's payment and remits the full stop-loss premium to the issuing or fronting carrier. The TPA does not underwrite or retain any stop-loss risk.

The TPA ONLY keeps their admin fee and creates a separate account for the claims bucket to pay for claims as they come in.

Stop-Loss Carrier Allocates Premium

The stop-loss carrier retains fronting and administrative fees (commonly 10-25%), possibly includes broker commissions, and cedes the remaining premium to the captive through a reinsurance agreement.

Captive Receives Net Premium

The captive insurer assumes a portion of the stop-loss risk, typically the specific and/or aggregate layer, and collects underwriting profit. It also can earn investment income on unused reserves.

The captive does have operating expenses that are typically in the 10-15% range. These include audit, legal, banking, licensing, compliance, and management.

The captive also will purchase reinsurance above their risk layer for larger catastrophic risk.

Captive Posts Collateral

To secure its obligation to the stop-loss carrier, the captive posts collateral. Collateral levels are determined by actuarial projections and contract terms. Zenith is posting this collateral requirement on behalf of the employer groups.

Claims Reimbursement Process

If a claim exceeds the group's stop-loss deductible or weekly aggregate accommodation, the TPA submits it to the stop-loss carrier.

The carrier issues payment to the TPA.

Then seeks reimbursement from the captive if the claim falls within the reinsured layer owned by the captive.

Once the contract term is up. The captive, employer group, and the stop loss carrier all 'settle-up'.

Sample Claim Payment Flow

Total Claim: $400,000

Employer Responsibility

Employer has a $25,000 specific deductible. Pays the first $25,000 of the claim.

Captive Responsibility

Captive reinsurer assumes the next $200,000 of the claim. Pays from its ceded stop-loss premium reserves.

Stop-Loss Carrier Responsibility

Fronting carrier covers the remaining $175,000. Carrier may seek reimbursement from the captive for the ceded layer.

Reimbursement Flow

- TPA submits claim to stop-loss carrier.
- Carrier reimburses TPA or employer for amounts above deductible.
- Captive reimburses carrier for its assumed portion of the risk.

Distribution of Surplus After Plan Year

Claims Fund Surplus Distribution

- 100% of Unused dollars in the employer's claims fund are returned at the end of the contract year.
- Subject to terms such as run-out period, and reconciliation timing. (12/15 or 12/18 + 3 months)
- Enhances employer value, encourages better health plan engagement and outcomes.

Captive Surplus Distribution

- At the end of the contract term, underwriting profits retained by the captive WILL be distributed to participating groups.
- Distribution is based on contribution to premium, claims performance, and participation terms outlined in the captive participation agreement. (SAPA)
- Surplus will be split as 25% employer groups, 25% retain for future risk mitigation, 50% Zenith